

Economic Consulting Econometrics Quick Reference

Consulting Technical Curriculum companion to C11.

A one-page reference for the economic consulting interview. Be able to define each term in a sentence a non-economist would understand, since the ultimate audience is a judge or jury.

Term	What it is	Interview soundbite
OLS regression	Fits $Y = b_0 + b_1 X + e$ by least squares	b_1 is the effect of X on Y, holding other variables fixed
Coefficient	Estimated marginal effect of a variable	A one-unit change in X moves Y by b_1 , all else equal
R-squared	Share of variation in Y explained	High R-squared is not proof of a good or causal model
P-value	Chance of the result if true effect were zero	Significance is about distinguishable from zero, not size
Endogeneity	X correlated with the error term	Biases the coefficient; the omitted-variable critique
Heteroskedasticity	Non-constant error variance	Fix the standard errors, not the coefficient
Causal inference	Isolating a true cause, not correlation	The whole game; correlation is not causation
Difference-in-differences	Compares treated vs control over time	Common for measuring an event or policy effect
Fixed effects	Controls for stable group differences	Removes time-invariant confounders within a unit

Two analyses you must know

DAMAGES - THE BUT-FOR WORLD

Damages = actual outcome minus the but-for outcome (what would have happened absent the conduct), summed over the affected period. The but-for value is modeled from clean periods or comparable markets, and that counterfactual is where most of the expert battle happens.

ANTITRUST - MARKET DEFINITION

Defining the relevant market sets market share, which drives the whole case. The SSNIP test asks whether a hypothetical monopolist could profitably impose a small but significant non-transitory increase in price; if customers would switch away, the market is broader.